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HOUSE OF REPRESENTATIVES
153rd GENERAL ASSEMBLY

HOUSE BILL NO. 242

AN ACT RELATING TO LOCAL SCHOOL TAXES IN THE 2025-2026 TAX YEAR.

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF DELAWARE:

Section 1. Notwithstanding any provision of law to the contrary, on enactment of this Act:

(1) The school board of a school district located entirely in New Castle County may, for the 2025-2026 school tax year, reset the local school tax rate using a residential and a non-residential tax rate. The non-residential tax rate must be at least equal to the residential tax rate and may not be more than 2 times the residential tax rate. The total amount of revenue projected to be collected through use of the residential and non-residential tax rates may not exceed the total amount of revenue the district was projected to collect under its original 2025-2026 tax warrant.

(2) New tax rates approved by a school district under this Act must be reported to the County and delivered with a new warrant not later than 10 business days from the effective date of this Act.

(3) Upon receipt of a new warrant under paragraph (2) of this Act, New Castle County shall supplement any tax bill already issued to taxpayers in that district for the 2025-2026 tax year and adjust initial billing using the new local school tax rates set by the district. New Castle County shall extend the deadline for payment of property tax bills for the 2025-2026 tax year that are supplemented or adjusted under this Act to October 30, 2025.

(4) If a taxpayer submits payment prior to an adjustment in billing under paragraph (3) of this Act, and the taxpayer's school tax bill is adjusted downward, New Castle County shall credit the overpayment against future school tax liability, unless a taxpayer submits a written request for refund of overpayment to New Castle County, in which case New Castle County shall issue a refund.

(5) A school district that resets its tax rates in accordance with this Act may request and borrow from State Division I funds in the event of a cash flow shortfall of local school funds due to the extension of the deadline for tax payments for the 2026 fiscal year.

SYNOPSIS

This Act allows any school district located in New Castle County to reset its tax rates for the 2025-2026 tax year and to reissue a tax warrant using different residential and non-residential tax rates. The non-residential tax rate must be at least equal to the residential tax rate and may not be more than 2 times the residential tax rate. The total amount of revenue projected to be collected through use of the residential and non-residential tax rates may not exceed the total amount of revenue the district was projected to collect under its original tax warrant. The districts have 10 business days from the enactment of this Act to reset the rates and issue a new tax warrant to New Castle County.

Upon receipt of a new tax warrant, New Castle County will supplement any tax bill already issued for taxpayers in that district and adjust tax bills with an extended deadline for payment of October 30, 2025 for tax bills that change. For any taxpayer who submits payment under the original tax bill and whose total school tax liability is adjusted downward, the difference will be credited against future tax liability unless the taxpayer submits a written request for a refund, in which case New Castle County shall issue a refund.

A school district that resets its rates in accordance with this Act may request and borrow from State Division I funds in the event of a cash flow shortfall of local school funds due to the extension of the deadline for tax payments for the 2026 fiscal year.